IN THE NATIONAL COMPANY LAW TRIBUNAL

INDORE SPECIAL BENCH

COURT NO. 1

ITEM No.204

CA(CAA)/6(MP)2023

Proceedings under Section 230-232

IN THE MATTER OF:

Essar Transco Ltd

(Resulting Company) **.....Applicant**

Order delivered on 21/09/2023

Coram:

Mahendra Khandelwal, Hon'ble Member(J)

Kaushalendra Kumar Singh, Hon'ble Member(T)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

The case is fixed for pronouncement of order.

The order is pronounced in open Court vide separate sheet.

-SD- -SD-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

MAHENDRA KHANDELWAL
MEMBER (JUDICIAL)

Neeraj

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL
INDORE BENCH

C.A. (CAA) NO. 6 /MP OF 2023

[An Application filed under Section 230 and 232 and other applicable provisions of the Companies Act, 2013 for (Compromises, Arrangements and Amalgamations)]

In the matter of:

Essar Transco Limited

CIN**:** U40106MP2022PLC066994

A company, incorporated under the Companies Act, 2013,

Having its registered office at:

Shop no. 2 and 3 at Jalsa Complex,

Plot no. 175/1, 175/1 Kha, 175/5,

Village Tali (Waidhan),

District Singruali, Waidhan Singrauli

Colliery, Sidhi, Madhya Pradesh- 486 886 …**Applicant Company**

Order Pronounced on: 21.09.2023

Appearances: Ld. Senior Advocate Mr. Devang Nanavati
Ld. Adv. Mr. Raheel Patel
Ld. Adv. Mr. Aalay Shah
Ld. Adv. Ms. Shikha Tandon
Ld. Adv. Mr. Prakhar Pandey
Ld. Adv. Mr. Zaid Drabu
Ld. Adv. Mr. Adhiraj Chauhan

Coram: Hon'ble Mr. Mahendra Khandelawal, Member (J)
Hon'ble Mr. Kaushalendra Kumar Singh, Member (T)

ORDER

1. The present application is filed under Sections 230 and 232 and other relevant provisions of the Companies Act, 2013 (the "Act") and read with Companies (Compromise, Arrangements and Amalgamations)

Rules, 2016, seeking directions for dispensation of the meetings of the Equity Shareholders, Secure Creditors and Unsecured Creditors of the Applicant Company in respect of the proposed Scheme of Arrangement ("**Scheme**") of Essar Transco Limited ("**Applicant Company**") with Essar Power Transmission Company Limited ("**Demerged Company**") with effect from the Appointed Date, i.e. 01.04.2023, as mentioned in the Scheme.

2. An Affidavit has been sworn by Mr. Sanjay Shah on behalf of the Applicant Company who is the authorized representative of the Applicant, and the same has been authorized vide Board Resolution dated 12.05.2023 of the Applicant Company.

3. The submissions of the Applicant Company are summarised as under:

i) The Board of Directors of Applicant Company vide resolution dated 12.05.2023, has approved the said Scheme. The Board of Directors of Demerged Company vide resolution dated 15.05.2023, has approved the said Scheme. The proposed Scheme is annexed to the Company Application as Annexure-P/1.

ii) The registered office of the Applicant Company is situated in the State of Madhya Pradesh and is under the jurisdiction of the National Company Law Tribunal, Bench at Indore.

iii) The Applicant Company Essar Transco Limited is a public limited company with U40106MP2022PLC066994 originally incorporated on 20.12.2022 under the provisions of the Companies Act, 2013 in the State of Maharashtra. Later, (with effect from 07.07.2023) pursuant to an order dated 30.06.2023 passed by the Regional Director (Western Region), Ministry of Corporate Affairs the registered office of the Company was shifted from the State of Maharashtra to Madhya Pradesh.

iv) The object of the applicant company is carrying on the business of planning, promoting and developing integrated and efficient power transmission system networks. The Applicant is a wholly owned subsidiary of the Demerged Company. The securities of the Applicant are not listed on any stock exchanges in India. The total paid up share capital of the Applicant is Rs. 5,00,000/- comprising of 50,000 equity shares of face value of Rs. 10/- each. The equity shares of the applicant are held amongst 7 (seven) shareholders.

v) The Demerged Company Essar Power Transmission Company Limited, is a public limited company with CIN U99999MP2005PLC052837 originally incorporated on 07.12.2005 in Maharashtra under the provisions of the Companies Act, 1956. The Company's registered office was shifted from Maharashtra to Delhi on 30.09.2010 pursuant to an order passed by the Company Law Board on 25.08.2010. Later, (with effect from 24.08.2020) pursuant to an order dated 16.06.2020 passed by the Regional Director (Northern Region), Ministry of Corporate Affairs the registered office of the Company was shifted from Delhi to Madhya Pradesh. The Demerged Company has its registered office at Essar Power M P Limited, Power Plant, Village Bandhaura, Post Karsualal Singrauli, Singrauli, Madhya Pradesh– 486886.

vi) The Demerged Company is primarily engaged in planning, promoting and developing an integrated and efficient power transmission system network and is an “Interstate Transmission Licensee” under the Electricity Act, 2003. The securities of the Demerged Company are not listed on any stock exchanges in India. The total paid up share capital of the Demerged Company is Rs. 5,97,03,60,000/- comprising of 59,70,36,000 equity shares

of face value of Rs. 10/- each. The equity shares of the Demerged Company are held amongst 7 (seven) shareholders.

vii) The Demerged Company has its registered office in the State of Madhya Pradesh and has separately filed Company Application bearing CA(CAA)/3(MP)2023 under Section 230-232 of the Act seeking suitable orders/ directions in relation to the Scheme. This Tribunal *vide* its Order dated 06.07.2023 directed the Demerged Company to convene and hold the physical meeting of the Equity Shareholders, Secured Creditors and the Unsecured Creditors. Mr. V S Verma, Director of the Applicant Company, was appointed as the Chairperson for the respective meetings of the Applicant Company.

viii) The Applicant Company has filed its Memorandum and Articles of Association *inter alia* delineating its object clauses, along with their audited financial statement for financial year ending on 31.03.2023. The Applicant Company has also annexed its unaudited financial statements setting out the financial position of the Applicant Company as on 31.07.2023.

ix) It is further submitted that the Applicant Company will be issuing compulsorily convertible cumulative participating preference shares ("**CCCPPS**") to the shareholders of the Demerged Company in terms of Clauses 24 to 30 of the Scheme. It is submitted that no approval of the Reserve Bank of India is required for the Scheme, since both the Applicant and the Demerged Company are engaged in sectors where 100% foreign direct investment (automatic route) is permitted as per the extant Indian law.

x) It is further submitted that approval of Competition Commission of India ("**CCI**") is not required for the Scheme as the Applicant Company is a wholly owned subsidiary of the Demerged

Company, and the said companies form a part of the same group. Further, pursuant to Notification S.O. 988(E) dated March 27, 2017 and Notification S.O. 1192(E) dated March 16, 2022 issued by the Ministry of Corporate Affairs, Government of India the Scheme is also exempted from any requirement to obtain approval of the CCI as the turnover of the Demerged Company for Financial Year 2021-22 is less than Rupees 1,000 Crore. Therefore, the CCI will not be regulatory authority for the purpose of the present Scheme.

xi) It is submitted by the Applicant Company that the accounting treatment specified in the Scheme is in conformity with the accounting standards prescribed in the Companies Act, 2013 and certificates of the statutory auditors of the Applicant Company and the Demerged Company issued under Section 133 of the Companies Act, 2013 are filed respectively with the application as Annexure-P-19.

xii) The Scheme provides for the proposed share exchange ratio to be implemented once the Scheme is sanctioned. The Applicant Company has also placed on record the report recommending fair share entitlement ratio dated 12.05.2023 issued by Mr. Niranjan Kumar, Registered Valuer – Securities or Financial Assets IBBI Registration No. IBBI/RV/06/2018/10137.

xiii) It is further submitted by the Applicant Company that no investigation or proceedings under the Companies Act, 1956/ Companies Act, 2013 have been instituted or are pending in relation to the Applicant Company and the Demerged Company.

xiv) It is submitted that as on 04.08.2023, the Applicant Company has 7 (seven) Equity Shareholders holding 50,000 equity shares issued by the Applicant Company. The Chartered Accountant, viz., NKR & Co., has issued a certificate dated

04.08.2023 certifying the number of shares held by the Equity Shareholders of the Applicant Company.

xv) That Applicant has obtained consent affidavits from 7 (seven) equity shareholders, constituting 100% in number and in value, approving the Scheme, and agreeing to waive their right to seek a meeting of the equity shareholders of the Applicant. It is submitted that in the circumstances, it would be convenient and expeditious that the holding of meeting of the equity shareholders of the Applicant be dispensed with. Since 100% equity shareholders, in number and value, of the Applicant, have consented to the Scheme in writing, it is submitted that no useful purpose would be served by calling and/ or holding any meeting of the equity shareholders of the Applicant. List of equity shareholders of the Applicant who have granted their consent along with their respective consent affidavits are enclosed with the Application as Annexure P15.

xvi) The Applicant Company has no Secured Creditors. The Chartered Accountants, viz. NKR & Co., has issued a certificate dated 04.08.2023 certifying that there are no Secured Creditors, the certificate is filed and produced at Annexure – P16. Therefore, the Applicant Company is seeking appropriate directions with respect to dispensation of the meeting of the Secured Creditors.

xvii) The Applicant Company also has no Unsecured Creditors. The Chartered Accountants, viz. NKR & Co., has issued a certificate dated 04.08.2023 certified that there are no Unsecured Creditors of the Applicant Company, the certificate is filed and produced at Annexure – P17. Therefore, the Applicant Company is seeking appropriate directions with respect to dispensation of the meeting of the Unsecured Creditors.

4. The rationale for the Scheme of Arrangement as stated in Clause 3 of the Scheme is as under:

3. RATIONALE

3.1. *The Demerged Company was granted an inter-state transmission license by the Central Electricity Regulatory Commission, vide Order (as defined hereinafter) dated April 10, 2008 in Petition No. 157 of 2007 (i.e., License No.4/Transmission/CERC) (hereinafter referred to as the "**ISTS License**").*

3.2. *The Demerged Company currently owns, operates and maintains primarily two inter-state electricity transmission system networks, namely, Stage I Transmission network (as defined hereinafter) and Stage II Transmission network (as defined hereinafter). The aforementioned two inter-state transmission system networks are independent and standalone in nature and operate between different sources and points of delivery which are as follows:*

(i) *Stage I Transmission network (approximate line length being 104.6 km), which primarily supplies electricity to the steel plant of Arcelor Mittal Nippon Steel India Limited in Hazira, Surat, Gujarat from the switchyard of NTPC Limited at Gandhar, Gujarat; and*

(ii) *Stage II Transmission network (approximate line length being 336.7 km), connects the Mahan Thermal power plant operated by Mahan Energen Limited to Sipat pooling sub-station.*

3.3 *This Scheme is intended for the segregation of the Remaining Business (as defined hereinafter) and Stage II Transmission Undertaking of the Demerged Company, in accordance with Sections 230 to 232 and other relevant provisions*

of the Act (as may be applicable) read with Section 2(19AA) and other relevant provisions of the IT Act (as defined hereinafter) (as may be applicable), whereby the business of owning, operating and maintaining the Stage II Transmission Undertaking shall be vested in and to the Resulting Company and the Demerged Company shall continue to own, operate and maintain the Remaining Business.

3.7 *Pursuant to the Demerger (as defined hereinafter):*

(iii) *All the properties of the Stage II Transmission Undertaking immediately before the Demerger shall become the properties of the Resulting Company by virtue of the Demerger;*

(iv) *All the liabilities related to the Stage II Transmission Undertaking immediately before the Demerger shall become the liabilities of the Resulting Company by virtue of the Demerger;*

(v) *The properties and the liabilities of the Stage II Transmission Undertaking as set out in (iii) and (iv) above shall be transferred to the Resulting Company at such values as determined in accordance with applicable Accounting Standards;*

(vi) *The Resulting Company shall, in consideration of the Demerger, issue CCCPPS (as defined hereinafter) to all the shareholders of the Demerged Company on a proportionate basis in accordance with the Entitlement Ratio (term defined hereinafter); and*

(vii) *The transfer of the Stage II Transmission Undertaking shall be on a going concern basis.*

5. We have heard Mr. Devang Nanavati, Learned Senior Counsels for the Applicant Company, and perused the application made by the Applicant and the supporting affidavits and documents annexed with the application. It is noted that while approval was granted by this Tribunal in CA (CAA)/3/2023 vide order dated 06.07.2023, in respect of demerged company, it was submitted in the application that the applicant company (which is Resulting Company) was having its registered office in Mumbai and therefore a separate application under Section 230-232 shall be filed (in NCLT Mumbai). Nevertheless, as stated now in this application, the applicant (Resulting Company) has shifted its registered office to Madhya Pradesh vide RD's order dated 30.06.20223, and therefore the separate application is filed in this bench itself. It appears that the present Application complies with all provisions of Section 230-232 of Companies Act, 2013 and Rules provided thereunder. Hence, we allow the present application with the following directions:

i. Convening of the meeting of the Equity Shareholders of the Applicant Company is dispensed with, in view of consent affidavits provided by 100% equity shareholders of the Applicant, in number and value. The same is placed on record.

ii. Convening of meeting of Secured Creditors is dispensed with as the Applicant Company has no Secured Creditors.

iii. Convening of meeting of Unsecured Creditors is dispensed with as the Applicant Company has no Unsecured Creditors.

6. In compliance with Section 230(5) of the Act and Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules,

2016, the Applicant Company shall serve the notice on the following Authorities namely, (i) to the Central Government through the Regional Director, North Western Region, Ministry of Corporate Affairs; (ii) to the Registrar of Companies, Gwalior, and (iii) to the Income Tax Department along with full details of assessing officer and PAN number of the Applicant Company with the copy also to the Chief Commissioner of Income Tax Office, and to such other Authorities who may govern the working of the Applicant Company involved in the Scheme, so that timely and proper reply may be filed. Representations, if any, to be made by them shall be sent to the Tribunal within a period of 30 days from the date of receipt of such notice, and a copy of such representation shall simultaneously be sent to the concerned company, failing which, it shall be presumed that they have no objection to the proposed Scheme.

7. The Applicant Company shall file an compliance affidavit with the Registry with regard to the directions of the Tribunal complied with as per Rule 12 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

8. The Application CA(CAA) 6 OF 2023 is allowed and stands disposed of.

-SD- -SD-

Kaushalendra Kumar Singh
Member (Technical)

Mahendra Khandelwal
Member (Judicial)

Surbhi Rathore-LRA